

with that high interest rate of 22%, my monthly payment is too high. I really want to stay with your company and if you look at my record, you'll see I've been a pretty good customer. I have an offer right now to switch my balance to Carefree Credit and if you can't give me a more reasonable interest rate, that's what I'm going to have to do. I have to lower my payments and this interest is ridiculous.

CCC manager: Yes, ma'am. What is it that you're asking me to do?

Rhoda: I'd like 0% interest rate right now for six months.

CCC manager: Yes, ma'am, I understand, but I cannot do that at this time. We do not have that product available right now. I see from your history with us that you are a long-standing customer, but there have been a few late payments here and there. The best I can do for you today is an interest rate of 12%.

Rhoda: Interest rate of 12%? Okay, I'll take it. Thank you.

Let's run the numbers for Rhoda after she made the call and was able to get an interest rate of 12%. A new rate would knock down the overall interest she pays over the life of the loan to about \$1200. That is two-thirds less than what it was before!

Reducing the interest rate reduces the monthly payment and the overall debt. Cutting the interest on a loan is a tremendous thing! Paying \$1200 instead of \$3900 is a great improvement. Rhoda is going to make on-time payments for a few months and call back again to ask for a lower rate. You never know unless you ask!

Calling all your credit card banks and credit card issuers is worth the small amount of time, and it can save you thousands! Just like that!

Simple, fast, and effective. It's a beautiful thing.

Balances

The same tactic mentioned above about reducing interest applies to your credit card balances as well. Yes, I said balances. The credit card companies really do not want to turn your account over to a collection agency. Of course, their objective is to squash every penny possible out